July-December 2011

Monetary Policy Statement

July 27, 2011

Monetary Policy Department

Bangladesh Bank

Monetary Policy Statement
H1 FY12 (July-December 2011)

Executive Summary

Introduction*: This (twelfth) issue of Bangladesh Bank's (BBs) half yearly Monetary Policy Statement (MPS) outlines the monetary policy stance that BB will pursue in H1 FY12 in the context of unfolding near term developments in the domestic and global scenes. The ex-ante announcements of monetary policy stance are intended to anchor inflation expectations of economic agents and the general public. As with the previous recent issues of MPS, drafting of this issue was preceded by rounds of consultations with stakeholders including trade body representatives, senior professionals and academics, past finance ministers/finance advisers/BB Governors; to glean their perceptions about policy outcomes in the preceding period, as also about the challenges and priorities for the way forward. For the first time, suggestions on monetary policy were also invited and received on BB website.*

FY11 growth outcome, outlook for FY12: *Output and investment activities in the economy paced up substantially in FY11 after a couple of years in post-global crisis relative slowdown. The Bangladesh Bureau of Statistics (BBS) estimates real GDP growth for FY11 at 6.66 percent (very close to initial projection of 6.70 percent), following 6.07 percent growth in FY10. Industry sector had the strongest growth gain from 6.49 percent of FY10 to 8.16 percent in FY11, supported by strong growth exceeding 40 percent both in exports and imports. Power sub-sector output improved, while progress of the gas sub-sector needs further attention. Service sector output growth edged up to 6.63 percent in FY11 from preceding year's 6.47 percent. Agriculture sector output growth eased down from the FY10 high of 5.24 percent to lower but still strong and above-trend 4.96 percent growth in FY11. Given the prevailing robust investment and growth momentum in the real economy, attaining the 7.00 percent real GDP growth targeted in the FY12 national budget would not appear to be very arduous; subject of course to internal and external environment remaining benign and stable, with major progress in easing of the power and gas supply shortages.*

Monetary and external sector outcome, outlook for FY12: *Broadly as foreseen in the MPSs for FY11, pickup in output and investment activities escalated demand pressure in domestic Taka and foreign exchange markets rather sharply in FY11, from both public and private sectors; while slowdown in workers' remittance inflows, widening trade deficit from strong import growth, and declining capital account inflows built up substantial stress on liquidity in Taka and foreign exchange markets. In this situation, while pursuing FY11 monetary program objectives with 50 basis point CRR enhancement once and repo, reverse repo interest hikes totaling 225 basis points in four steps; BB had also to inject Taka repo funds virtually on a daily basis, particularly in H2 FY11, so that liquidity crunch does not bring markets to grinding halt. This unavoidable necessity meant reserve money growth path hovering quite often above the FY11 program levels. The pressure on exchange rate of Taka was eased partly by BB's USD sales (totaling net USD 962 million) from reserves, to limit inflationary consequences of excessive*

Taka depreciation. With this partial easing, Taka depreciated against USD by 6.6 percent in FY11, which however was helpful for the recovery in flagging workers' remittance inflows. Foreign exchange reserves ended up slightly higher (USD 10.91 billion) at close of FY11 than at the opening (USD 10.75 billion). The intended impact of BB's monetary policy actions on monetary expansion showed up distinctly in Q4 FY11, with growth of domestic credit easing to 28.29 percent in May 2011 after peaking off at 29.18 percent in April; and is projected to decline to about 27.6 percent in June 2011.

Growing financing needs of public and private sector investment activities in pursuit of the targeted 7.0 percent real GDP growth in FY12 are likely to continue much the same demand pressure in local Taka and foreign exchange markets as in FY11, unless external capital account inflows improve substantially.

Inflation outcome and outlook: *The uptrend in CPI inflation from the global slowdown induced low of FY09 continued in FY11, but less steeply so than in FY10. While point to point CPI inflation increased in FY10 by as much as 6.45 percentage points from the FY09 low of 2.25 percent, the increase in FY11 was 1.47 percentage points, to 10.17 percent. The annual average (headline) CPI inflation rose to 8.80 percent by the end of FY11, well above the 8.00 percent level projected in the revised FY11 national budget; mainly due to high and volatile food and non-food commodity prices in global markets. The annual average non-food CPI inflation (which can be considered as 'core' inflation, as officially set fuel prices in Bangladesh are not volatile) remained low and declining however, down to 4.15 percent at close of FY11 from 5.45 percent at the opening.*

The national budget for FY12 projects decline of the annual average CPI inflation to 7.5 percent in FY12 from the end FY11 levels well above 8.80 percent. Non-food inflation being already low, attaining the projected CPI decline will depend mainly on moderation of domestic food prices. These remain high and rising under influence of global price trends, despite good domestic harvest and absence of any major supply chain disruption. Observers expect moderation in global commodity price volatility in FY12 from the recent widespread adoption of fiscal and monetary restraints both in the advanced mature economies and the fast growing emerging economies, from inflation and financial stability concerns. Increase in domestic non food CPI inflation from possible upward revision of subsidized user prices of gas, power and fuel oil may however offset some of the easing of domestic food CPI inflation in line with the expected moderation in global commodity prices. Attainment of the projected decline of domestic CPI inflation to 7.5 percent in FY12 will thus be subject to moderation in global commodity price trends, limiting of demand pressures from excessive liquidity expansion, and stable benign domestic environment with no major supply side disruption.

Monetary policy stance for H1 FY12: *Domestic credit growth at rates well over 25 percent y-o-y prevailing in FY11 clearly was out of line with the modest 13.42 percent nominal GDP growth of the economy estimated by BBS, even assuming that some output from FY11 investments will show up later rather than in the same year. Monetary policies in FY 12 will therefore need to continue in a restraining stance in respect of domestic credit expansion; as before selectively bearing down on unproductive and high risk uses of credit while also ensuring adequate credit flows for productive pursuits in manufacturing, agriculture, trade and other services. BB will adopt such further policy steps in consultation in lending banks as are found necessary to discourage credit flows to unproductive and high*

risk uses. BB's financial inclusion drive will continue spearheading widening of credit access for underserved productive sectors. Steps redressing constraints in activation of secondary markets in Treasury and corporate securities will be hastened.

In FY11 the modest pool of predominantly short term domestic savings was strained heavily by spurt in longer term credit demand for new private and public sector capital investments, much of which are normally expected to be financed with term borrowing and/or equity from external sources. This kind of demand pressure on domestic credit must ease if excessive Taka depreciation, balance of payment adversities, and liquidity difficulties of lenders from asset liability maturity mismatch are to be avoided. To this end, guidelines will be developed in consultation with lending banks requiring major portion of capital costs of industrial projects to be borne from owners' equity, capital market debt issues and external term loans. The gradual phasing out of lending interest rate caps to restore full interest rate flexibility, initiated in March 2011, will be accompanied by simultaneous tightening of close monitoring on rates of interest and charges/fees on banking services from competition and consumer protection viewpoints. Consultations on modalities of activation of interbank market for funds of Islamic banks have been initiated, activation of such a market window will enhance utilization efficiency of these funds.

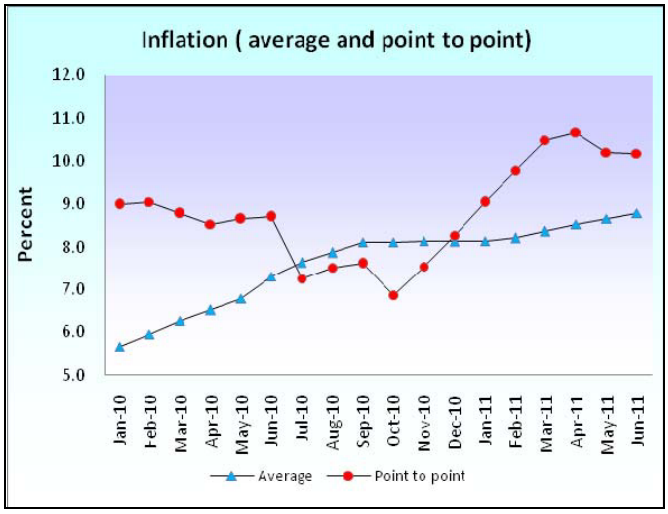
Policy approach, FY11 outcome, outlook for FY12

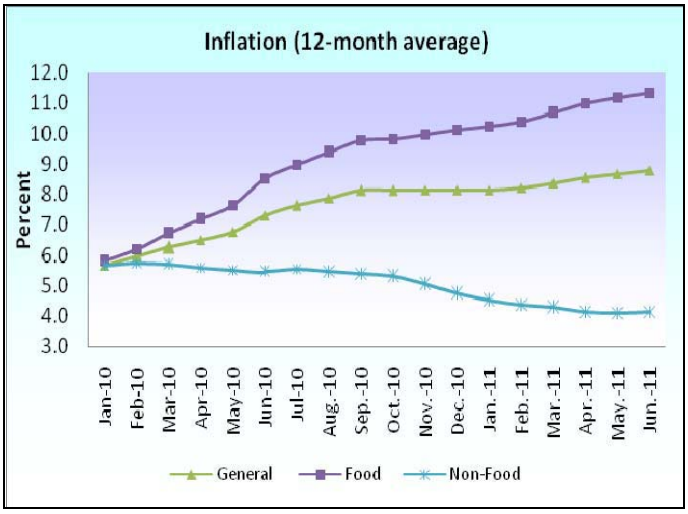
1. Policy approach: Besides employing policy interest rate (repo, reverse repo rate) interventions to influence real sector price levels via financial sector prices, BB's monetary policies seek to influence real sector prices also via quantity theory based money stock targeting; monetary programs chalk out target growth paths for broad money (M2) and its sub-aggregates, implemented by day to day management of growth path of reserve money (RM, currency in issue and balances of banks with BB). This approach is felt necessary because of inadequacy of well functioning transmission channels from financial prices to real sector prices in domestic markets still at early stage of development, and also because unlike economies fully open on capital account, money stock targeting is feasible in economies like Bangladesh maintaining controls on capital flows. The annual average CPI inflation level projected for a fiscal year in the annual national budget is taken as the target real sector price level for monetary policies.

In stakeholder consultation sessions on monetary policy stance questions were raised about why BB does not set low inflation targets on its own instead of adopting the rather high inflation projections of national budgets. Also, in the backdrop of monetary growth and inflation outcomes persistently exceeding program targets in recent periods, questions were raised about relevance of the methodologies now in use. Brief observations on these issues will be in order here.

As regards why BB doesn't set inflation targets on its own, even in the advanced economies where central banks are specifically mandated to pursue inflation targets, the inflation levels to be targeted are set by governments answerable to their electorates, not by the central banks themselves. In other words, those central banks enjoy operational independence but not goal independence, just as in Bangladesh. Inflation levels projected in the annual national budgets are not numbers drawn off the cuff; these are outcomes of careful interagency deliberations actively participated interalia by relevant BB staff.

Chart 1: Trends of CPI inflation
(Base: 1995-96=100)





As for why inflation targets thus chosen are on the high side compared to global inflation, it needs to be noted that within the 'global' composite, developing economy inflation levels are in general substantially higher than in mature advanced economies, IMF and other multilateral agencies report inflation levels separately for these two country groups. Trade globalization has by now broadly equalized prices of tradable in developed and developing economies; price levels of non-tradable (such as personal and professional services etc.) are still on path of gradual convergence, rising from the much lower levels in developing economies. The rising trends in prices of non-tradable will keep Inflation in developing economies higher than in advanced economies until full convergence with the stable but higher price levels of the latter.

Chart 2: Inflation differentials

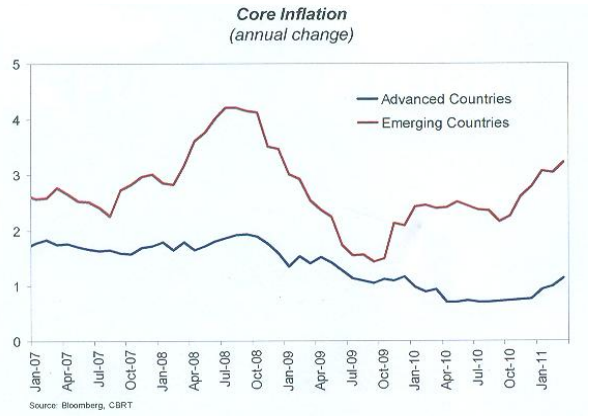
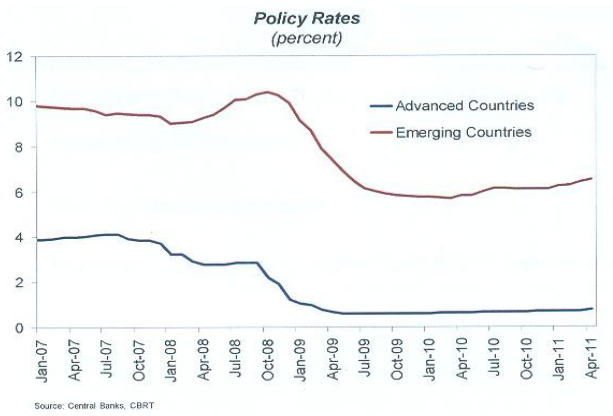
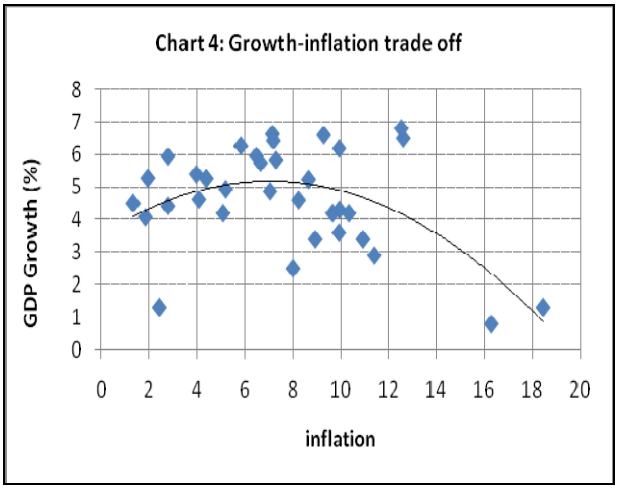


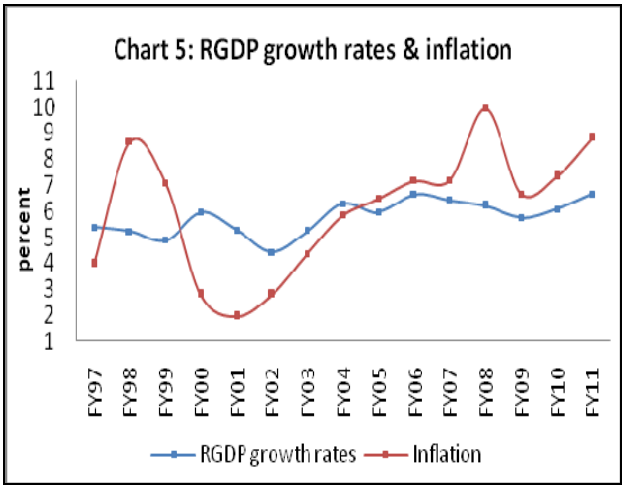
Chart 3: Interest rate differentials



Besides this inherent divergence in inflation dynamics, the other compelling reason for not choosing lower single digit inflation targets is that in developing economies such low inflation levels are growth inhibitive rather than growth supportive. Growth of Bangladesh economy in the early low inflation years of this century was not spectacular, while the economies of China and India worrying over high and rising inflation continue on roaring growth pace. Empirical studies with cross country data find moderate inflation growth supportive up to a certain inflexion point, beyond which further rise in inflation starts hurting growth. A recent estimation by BB's PAU following methodology developed by Khan M S et al[1] finds this inflexion threshold for Bangladesh at around eight percent; although the adverse effect on growth may not always show up immediately (chart 4).

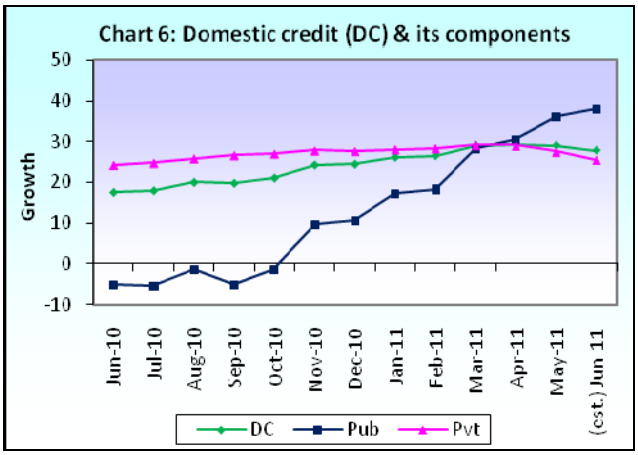
[1] Khan M S and A S Senhadji: 'threshold effects in the relationship between inflation and growth," IMF *Staff Papers*, Vol 48, No1(2001)

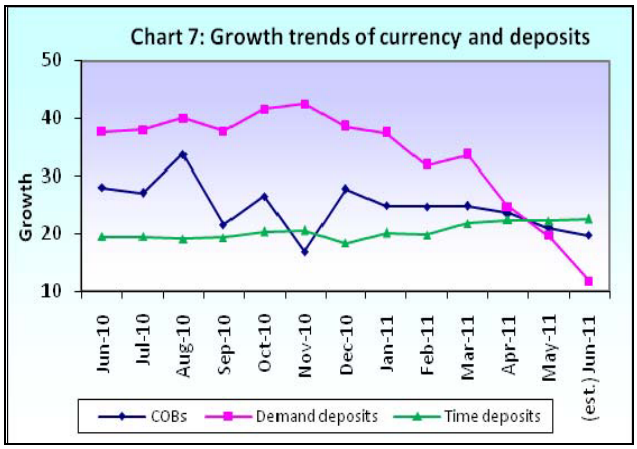




As to whether the monetary programming exercise now in use in Bangladesh is any longer relevant given the overshoots of both monetary growth and inflation beyond targeted levels in successive recent periods, it may be noted that these recent periods were not quite the normal trend periods when monetary and other programs based on many simplifying assumptions produce expected outcomes. The significant growth slowdown of FY09 and the recovery speeding up sharply in FY11 required policy interventions of opposite kinds towards relieving the stresses and maintaining balance. During such episodes when other imperatives override monetary program objectives, overshoots from programmed monetary and inflation targets are unsurprising and do not necessarily indicate loss of relevance of monetary programming exercises. On the contrary, the evidence of declining non-food CPI inflation and slower rise of headline CPI inflation in FY11 indicate continued relevance and effectiveness.

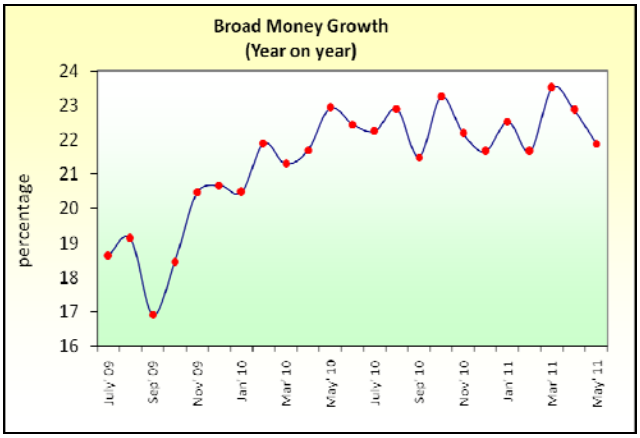
2. Overview of macroeconomic developments and monetary policy actions in FY11: Output and investment activities in the economy paced up in FY11 rather faster than anticipated, particularly in the second half as power supply shortages started easing. Both exports and imports maintained growth rates above forty percent, far exceeding the initial projections of 9.7 and 17.5 percent respectively, with attendant high demand for trade financing. Imports remained output and growth oriented in FY11; only about one seventh of total imports were of food grains and other consumption goods, the remainder being fuel oil, production inputs and capital goods. Trade deficit kept widening despite strong export growth from a lower base. Remittance inflows from workers abroad that more than made up for trade deficits in recent years decelerated in FY11 faster than expected, remaining near-zero or even negative in early months but recovering later to modest 6.03 percent annual growth for FY11 against initial projection of 17.6 percent. The consequent depletion in current account surplus created depreciation pressure on Taka, in reversal of preceding year's trend. This was compounded further by weakness in net capital account inflows, due to sharp decline in government's net external borrowings and to the private sector's tendency of leaning heavily on domestic savings for financing investments rather than at least partly accessing foreign debt or equity for this purpose.

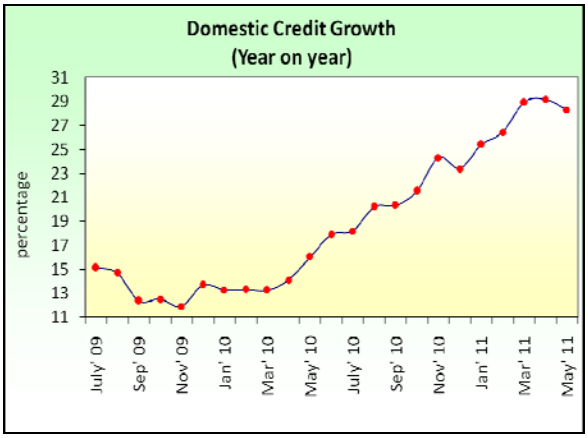




Increasing drawal of term loans for investment projects from the modest domestic pool of predominantly short term deposits worsened asset liability maturity mismatches and associated liquidity difficulties in the lending banks. Government borrowing from the banking system, mostly in long-dated bonds, escalated sharply in FY11 due to sharp decline in foreign financing and non-bank domestic (NSD) financing. Secondary market in longer dated treasury bonds still being very limited, banks and non bank financial institutions holding primary dealership in treasury bonds faced additional liquidity constraints with the increasing volumes of these bonds in their holdings.

Chart 8: Growth paths of monetary aggregates





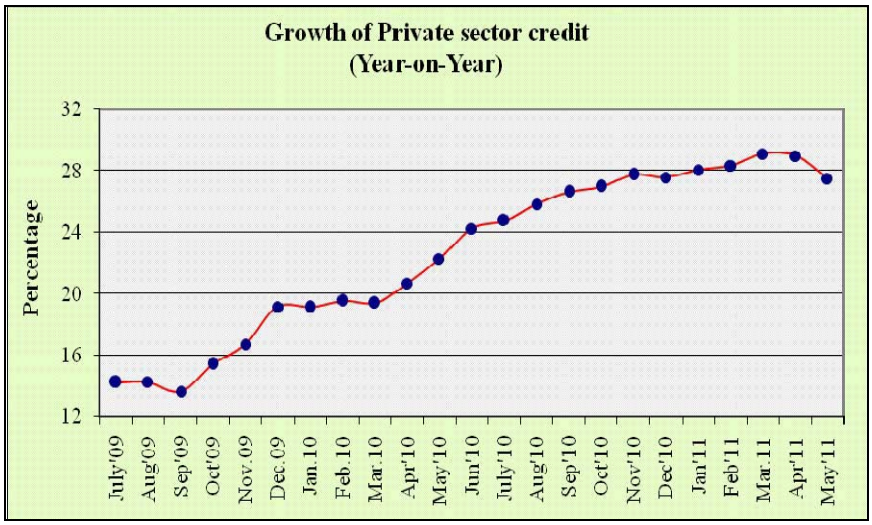
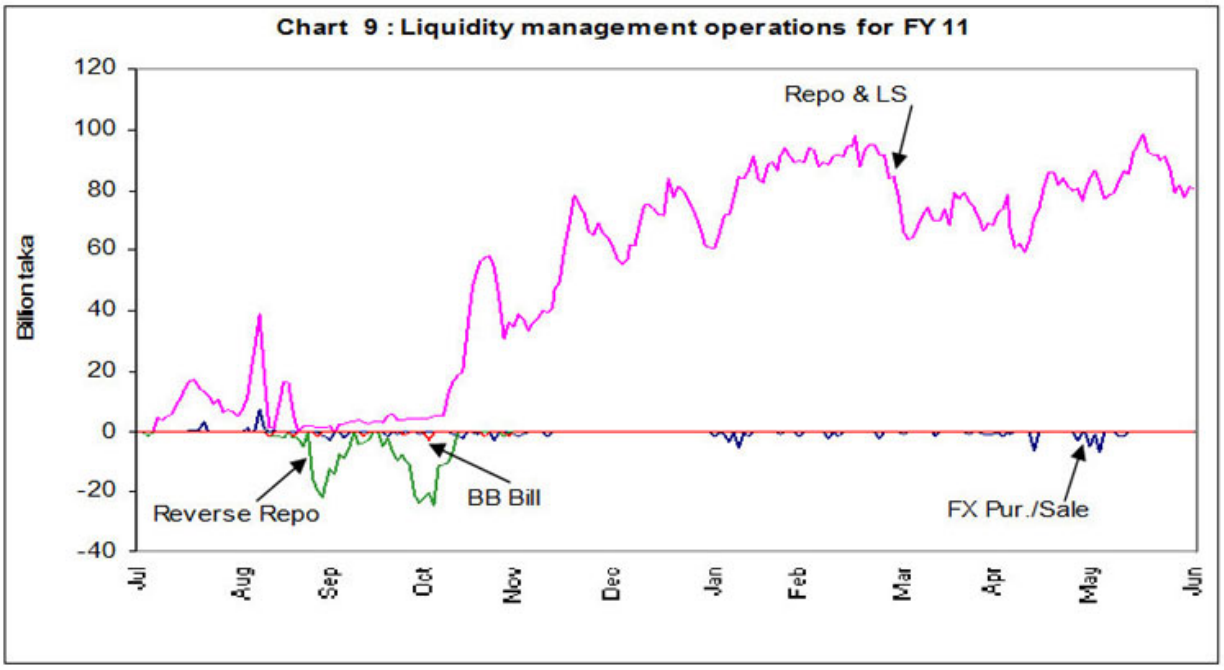


Table 1: Monetary Aggregates (Y-o-Y growth in percent)

	FY10	Sep-10	Dec-10	Mar-11	May-11	Jun-11 (Prog.)	Jun-11 (Estimate)	Jun-12 (Prog.)
1. Net Foreign Assets	41.3	27.3	14.2	7.8	4.2	-1.5	0.2	-1.6
2. Net Domestic Assets	18.8	20.2	23.4	27.2	25.9	20.0	25.7	22.1
Domestic Credit	17.6	19.8	24.4	29.0	29.0	18.8	27.8	20.0
Credit to the pub. sec. (incld. Govt.)	-5.2	-5.0	10.6	28.3	36.1	29.2	38.0	28.1
Credit to the pvt. Sec.	24.2	26.7	27.6	29.1	27.5	16.5	25.5	18.0
3. Broad money	22.4	21.5	21.7	23.5	21.9	16.0	21.0	18.5
4. Reserve money	18.1	13.1	25.9	29.1	22.8	15.0	20.8	16.0

Based on outcomes up to May 2011, domestic credit growth for full FY11 (July10-June11) is projected at 27.8 percent, with 25.5 and 38.0 percent growth respectively in credit to private and public sector. Towards reining in credit growth BB raised repo, reverse repo interest rates in four steps totaling 225 basis points in FY11, besides raising CRR for banks by 50 basis points in December 2010; but also had to keep injecting substantial Taka and USD liquidity, to prevent inter bank markets from drawing to grinding halt. FY11 ended with BB's Taka 80.37 billion repo liquidity support, USD 962 million net sales in the interbank foreign exchange market, and USD 427 million short term overdrafts to banks. BB's USD sales from foreign exchange reserves eased part of the depreciation pressure on Taka and its attendant inflationary effect. Adjusting to the remainder of the pressure, Taka depreciated 6.6 percent in FY11 against USD, helpfully for the improvement in workers' remittance inflows seen in H2 FY11. The monetary policy actions and balancing acts began clearly showing effects in intended directions in Q4 FY11, with domestic credit and its private sector component edging down in May 2011 after peaking off in April. Erosion in foreign exchange reserve has been avoided, with the USD 10.91 billion gross reserves at close of FY11 marginally higher than the USD 10.75 billion at close of FY10.



BB's supervisory and credit policy steps to rectify unbalanced lending practices in banks included monitoring and enforcing of prudent advance deposit ratios and good forward looking liquidity management and of regulatory ceilings on capital market exposures, tightening loan end use monitoring requirements on lenders to discourage diversion of credit to unauthorized and unproductive uses. Lending interest rate caps imposed earlier in the backdrop of global slowdown being no longer tenable in the changed context of high and rising demand, phase out of these caps was initiated in March 2011, starting with loans other than industrial term loans and loans for export, agriculture and essential imports. The increased interest rate flexibility facilitated deposit mobilization and restoration of balanced advance-deposit ratios in banks. Market liquidity in both Taka and foreign exchange improved significantly by Q4 FY11, and these improvement trends have continued in the opening month of FY12.

Government's borrowings from the banking system originate In BB's books, which are subsequently offloaded to banks in T bill/bond auctions. This is why Reserve Money spikes steeply every June as government departments and offices rush for full drawal of their annual budgetary allocations, often depositing the funds drawn in accounts with scheduled banks. When market liquidity swells from such end FY spurt in reserve money growth, BB steps in to mop up excess liquidity and restore normal liquidity conditions. This June, Reserve Money growth did not slacken market liquidity by much, inter-bank call money rates remained firm and BB had to continue to provide substantial day to day repo funds to keep the market stable. Sterilization operations to pull the released reserve money back are infeasible in tight market conditions needing liquidity support rather than squeeze. BB's market operations seek to maintain the extent of liquidity tightness consistent with announced monetary policy stance, not to mop up the exact volume of Reserve Money growth in excess of program level. The need for attempting the later is not obvious; the process of financial deepening in developing economies like

Bangladesh takes in some extent of monetary expansion beyond the level indicated by the monetary program identity equating monetary growth and nominal output growth. With domestic credit at 47.72 percent of GDP (as of June 2010) Bangladesh has far to go in reaching the deepening level of regional emerging economies like, say, Malaysia (131.83 percent).

3. Outlook and policy options for FY12:

a) Growth: Domestic demand remains buoyant in the economy, supported by faster poverty decline (by nearly two percent annually) reported in recent BBS Household Income and Expenditure Survey (HIES). Demand abroad for the predominantly low-end apparels and other manufactured exports from Bangladesh has recovered well, even in the mature advance economies on slower track of global recovery. Access to new export markets in fast growing emerging economies are widening, and newer items like maritime vessels are entering the export basket. Industry sector output growth is therefore likely to be well supported in FY12 by both domestic and external demand. The prevailing buoyant market prices of food crops, dairy and poultry products are providing stimulus for agriculture sector output growth. Promotion of SME and agricultural lending to the poorer population segments under BB's financial inclusion campaign is helping generate output growth on the supply side as well as employment and income growth on the demand side. In this context attaining or exceeding the 7 percent real output growth for FY12 targeted in the national budget wouldn't seem too difficult, subject of course to the usual provisos of benign climatic conditions, rapid further easing of power and gas shortages, timely and adequate availability of necessary financing and physical inputs, and stable social and political environment.

b) Inflation: Increase of annual average (headline) CPI inflation has remained slower in FY11 than in FY10, with its non-food component actually declining, point-to-point CPI inflation has also eased slightly in June 2011. Nevertheless, point-to-point CPI inflation has remained beyond comfort zone in double digits since March 2010. The food price component of both annual average and point-to-point CPI inflation are in double digits since December 2010 causing considerable hardship for the low income majority of the population, despite satisfactory growth in domestic output of major food crops including rice, potato and wheat. With global prices of food commodities including rice, wheat, sugar and edible oils high and volatile, the uneasy food CPI inflation situation is much the same in other developing countries, including India, the neighboring large economy. In the open global trade regime, prices of rice and other food commodities in domestic markets in Bangladesh are impacted by trends of global prices, even though imports constitute only a small portion of total domestic rice consumption. Global food and non food commodity prices are still high and volatile, but episodes of downward jolts have begun to appear recently; presumably from combined impact of reversal of global crisis related expansionary stances in fiscal and monetary policies in most countries including major mature advanced economies and fast growing emerging economies like China and India. This new worldwide trend of fiscal and monetary restraint can be expected to have cooling off impact on global commodity price trends in H1 FY12, in turn moderating domestic food price inflation in Bangladesh. Meanwhile government has been selling food grains from public stock at lower prices to relieve low income people from hardship of high food prices. Against the expected moderation of domestic food CPI inflation in H1 FY12, non-food CPI inflation may have some increase if the subsidized user prices of gas, electricity and petroleum are

revised upward to relieve government's mounting budgetary burden. Given these realities, even as BB remains proactive in curtailing excess demand from undue monetary expansion, attaining the targeted decline of CPI inflation to 7.5 percent in FY12 from the end FY11 level of 8.8 percent may prove challenging.

c) Fiscal developments: From actual decline in FY10, Government's budgetary borrowing from the domestic banking system rose sharply by 39.3 percent in FY11, characteristically exceeding rather than falling short of initial projections, despite healthy growth in revenue receipts. The main reason was the decline in external financing and non-bank borrowing through National Savings Scheme (NSS) instruments, of which net sales plummeted with downward revision of profit rates.

While overall budgetary deficits (3.8 and 4.4 percent of GDP for FY11 and FY12 respectively) are not particularly worrisome, there is room for rebalancing of the 6%-94% Treasury bill-bond composition planned for FY12 borrowing. Secondary trading in Treasury bonds has not yet developed significantly in the local market, primary dealer banks required to take up Treasury bonds in primary auctions end up laden with high volumes of practically illiquid assets. Treasury bills being short term (tenors up to one year) are much easier for banks to carry in their books as these are much more easily tradable in the secondary market; and with lower yield these are also a cheaper borrowing option for the government. Raising the share of bills in the bill-bond composition of government borrowing from the banking system (say, 30%-70%) may be both convenient for banks and cost saving for the government. Secondly, the planned volume of FY12 domestic non bank borrowing is less than a third of the planned volume of bank borrowing; with modest further improvement of return rates on NSS instruments (over the recent rather marginal improvements on some of these) it should be possible to borrow more through higher sales of NSS instruments, easing the demand pressure on banks. The reduced demand pressure on banks will mean correspondingly lower borrowing cost (lower yield rate on T-bills/bonds in auctions) there may be no net increase in borrowing cost in such rebalancing of bank and non-bank government borrowing.

Table 2 : Budget Financing

(Taka in Crore)

	FY 11		FY 12
	Budget	Revised	Budget
Overall Deficit (including grants)	-34,514	-30,600	-40,266
Financing			
Foreign borrowing (Net)	10,834	5,783	13,058
Domestic borrowing	23,680	24,817	27,208
Borrowing from the Banking system	15,680	18,379	18,957
Non - bank borrowing	8,000	6,438	8,251
National Saving Schemes (Net)	7,477	5,919	6,000
Others	523	519	2251

Source: Ministry of Finance.

As pointed out in previous recent issues of MPS, borrowing by non financial State Owned Enterprises (SOEs) is escalating fast in recent years, and has grown 32.0 percent in FY11. Many loss making unviable non financial SOEs closed down earlier at considerable cost in severance payments and loan liabilities are being reopened with newly borrowed funds. It is unclear whether the reopening decisions were based on proper viability appraisals or whether performance of these reopened SOEs are being monitored closely. This merits being an area of priority attention, as does ensuring efficiency and preventing wastefulness in utilization of the rapidly rising ADP expenditure allocations. Towards easing the growing public sector borrowing demand from the modest domestic savings pool in FY12 and beyond, it may be timely now to initiate steps for raising external financing by longer term bond issues in international markets for the larger public sector infrastructure projects that will generate own income streams for debt servicing; as the processes require several months of preparatory work.

d) External sector: The high, above forty percent FY11 growth in both imports and exports following a couple of years in global crisis induced slowdown cannot sustain for long, and is projected to ease down to around 15 percent in FY 12, both for exports and imports(Annex-2). Growth in workers' remittance inflows in FY12 are seen as likely to remain around the same mid single-digit level as in FY11, there being no indication of major positive change in outlook for migrant manpower demand in job markets abroad. BOP current account balance, maintaining surplus throughout FY11 despite heavy import related pressure, is projected to swing into deficit in FY12, with tepid growth in workers' remittance inflows falling short of the increasing deficits in trade, services and income accounts. With net balance in capital and financial account in negative, overall balance is estimated to be in the negative in FY11, and projected to remain in negative also in FY12. Consequently, exchange rate of Taka is likely to continue to be under some pressure in FY12, reserves are projected to decline slightly by close of FY12. The projected BOP outcomes for FY12 are trend based; with scope of improvement with appropriate policy efforts successfully promoting exports and attracting capital and workers' remittance inflows.

e) Issues in market stability and development: Smooth adjustment of money and credit markets to the demand pressures and stresses anticipated for FY 12 and beyond will require attention to prevailing imperfections and incompleteness in the markets. Issues meriting immediate attention include the following:

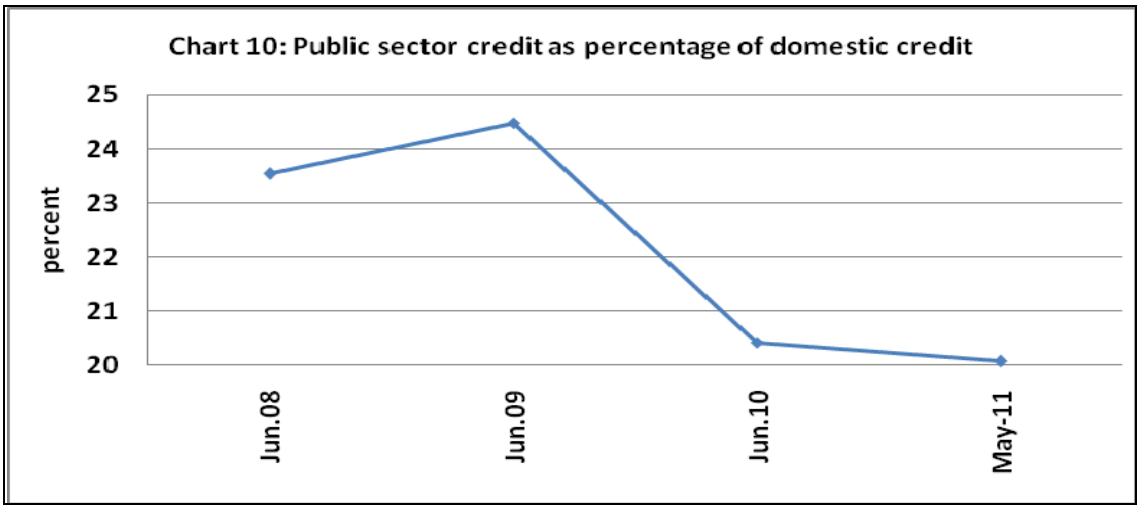
- In FY11 rise in Treasury bill/bond yields was less than proportionate with rise in issue volumes. Market value of stocks of bills /bonds decline with yield rate rise; BB rules required banks to hold a high 75 percent of bill/bond stocks in trading books. Losses to be booked on required daily marking to market valuation of the stock of bills/bonds in trading book made banks averse to seeking yield rise. To redress this loss in flexibility of bill/bond yields, BB reduced the required trading book portion of total bill/bond stock to 50 percent. There is room for further easing of this requirement, even 25 percent of total stock held in trading book may now be sufficient for secondary market trading.

- Demand base for long dated Treasury bonds in entities with long term liabilities (life insurers, provident and pension funds) remains undeveloped, rendering these bonds virtually illiquid. Policy

measures requiring former sector employers to maintain fully funded pension/provident fund schemes are needed to develop the demand base required for active secondary market in Treasury bonds. Issuance of asset backed corporate securities, thus far only sporadic, stalled following withdrawal of a tax break on such holdings, and there are transfer fee issues impeding secondary trade in corporate securities. Resolution of these issues will help promote and support development of liquidity enhancing securitization processes.

-Islamic banks in Bangladesh cannot participate in the interest based interbank overnight money market. Activation of an Islamic interbank money market can enhance efficiency of utilization of available liquidity. Consultations on modalities of doing so have already been initiated.

4. Monetary policy stance for H1 FY12: In the monetary scene in Bangladesh the foreign asset based monetary expansion during global financial crisis driven by growth surge in remittance inflows from workers abroad has shifted in post crisis FYs 10 & 11 to domestic asset based monetary expansion and sharp slowdown in external fund inflows. The combination of domestic credit growth surge far out of line with nominal GDP growth and weak external fund inflows during post global crisis recovery has caused build up of inflationary and balance of payment pressures. Reining in runaway credit expansion therefore remains imperative for limiting inflation and preserving external sector viability. Monetary policies in FY12 will therefore need to continue in the restraining stance on credit growth as pursued in FY11. As before, policies will selectively bear down on growth of credit for wasteful, unproductive and high risk uses, while also ensuring adequate credit flows for all productive pursuits in manufacturing, agriculture, trade and other services. BB's financial inclusion drive will continue spearheading initiatives of widening credit access for underserved productive sectors, and the credit policy measures discouraging credit flows for unproductive and high risk uses will be expanded further as necessary in consultation with lending banks.



To limit asset liability mismatches in book of banks from funding of long term loans to investment projects with short term deposits, policies specifically requiring financing of major part of capital costs of investment projects to be funded by owners' equity, debt issue in capital market, and external medium/long term borrowing will be introduced in consultation with lending banks. BB's day to day market interventions infusing Taka and USD liquidity will continue to be maintained at minimum needed to keep markets functioning steadily without excessive volatility. While the remaining lending interest caps will gradually be done away with to bring about full flexibility of market interest rates, lending and deposit interest rates and rates of charges/fees for various banking services will be under close BB monitoring from competition and consumer protection perspective.

Target growth rates of key monetary aggregates in the monetary program for FY12 drawn up in accordance with the above outlined expansion restraining monetary policy stance may be seen at col.9, Table-1. Balance of payments projections for FY12 underlying the monetary program may be seen at annex-2. Besides accommodating government's domestic bank borrowing as projected in FY12 budget, the program accommodates private sector credit growth more than adequate for attaining 7.0 percent real GDP growth in environment of 7.5 percent inflation. The percentage growth rate accommodated for public sector credit look high because of the much smaller base; the declining share of public sector credit as percentage of total domestic credit (chart 10) should allay crowding out concerns in the private sector. Outcomes of monetary program and monetary policies pursued in H1 FY12 will be reviewed in January 2012 for such modifications as may be found advisable for adoption in policies and program for H2 FY12.

Annex-1

CPI Inflation (National, Rural, Urban), Base: 1995-96 = 100

CPI Inflation (National)						
Period	Twelve-Month Average Basis			Point to Point Basis		
	General	Food	Non-food	General	Food	Non-food
2010-11[P]						
July	7.63	8.98	5.54	7.26	8.72	4.87
August	7.87	9.38	5.47	7.52	9.64	3.76
September	8.12	9.78	5.41	7.61	9.72	3.69
October	8.12	9.83	5.31	6.86	8.43	3.82
November	8.14	9.98	5.04	7.54	9.80	3.33
December	8.13	10.12	4.73	8.28	11.01	3.27
January	8.14	10.24	4.51	9.04	11.91	3.85
February	8.21	10.40	4.37	9.79	12.77	4.36
March	8.36	10.67	4.27	10.49	13.87	4.32
April	8.54	11.00	4.14	10.67	14.36	3.97
May	8.67	11.20	4.11	10.20	13.16	4.78
June	8.80	11.34	4.15	10.17	12.51	5.73

CPI Inflation (Rural)						
Period	Twelve-Month Average Basis			Point to Point Basis		
	General	Food	Non-food	General	Food	Non-food
2010-11[P]						
July	7.52	8.43	5.76	7.45	8.58	5.23
August	7.82	8.93	5.68	7.87	9.95	3.81
September	8.18	9.50	5.62	8.21	10.51	3.69
October	8.24	9.66	5.48	7.36	9.14	3.76
November	8.34	9.95	5.21	8.10	10.53	3.25
December	8.40	10.20	4.88	8.91	11.76	3.26
January	8.46	10.42	4.65	9.56	12.43	3.88
February	8.60	10.70	4.50	10.47	13.49	4.46
March	8.81	11.08	4.38	11.33	14.84	4.39
April	9.05	11.50	4.23	11.49	15.38	3.90
May	9.21	11.78	4.16	10.93	14.05	4.79
June	9.40	12.03	4.18	10.91	13.53	5.69

CPI Inflation (Urban)						
Period	Twelve-Month Average Basis			Point to Point Basis		
	General	Food	Non-food	General	Food	Non-food
2010-11[P]						
July	7.91	10.25	4.98	6.79	9.01	3.93
August	7.97	10.41	4.90	6.64	8.95	3.63
September	7.96	10.42	4.85	6.11	7.95	3.67
October	7.83	10.21	4.82	5.61	6.83	3.97
November	7.65	10.06	4.59	6.14	8.12	3.55
December	7.45	9.91	4.32	6.71	9.32	3.29
January	7.32	9.82	4.12	7.72	10.74	3.76
February	7.23	9.74	4.01	8.09	11.12	4.11
March	7.21	9.74	3.95	8.40	11.66	4.13
April	7.28	9.86	3.92	8.62	12.04	4.18
May	7.31	9.89	3.95	8.37	11.13	4.77
June	7.30	9.76	4.07	8.33	10.20	5.84

P = Provisional.

Annex-2
BANGLADESH BALANCE OF PAYMENTS

(In million US$)

	2008-09	2009-10	2010-11		2011-12
			Initial Projection	Revised Estimation	Projection
Trade balance	**-4,710**	**-5,152**	**-7,335**	**-7,692**	**-8,846**
Export f.o.b.(including EPZ)	15,581	16,236	17,806	22,893	26,327
Import f.o.b (including EPZ)	-20,291	-21,388	-25,141	-30,585	-35,173
Services	**-1,616**	**-1,240**	**-2,930**	**-2,310**	**-3,000**
Receipts	1,832	2,471	2,389	2,595	2,984
Payments	-3,448	-3,711	-5,319	-4,905	-5,984
Income	**-1484**	**-1484**	**-2073**	**-1395**	**-1597**
Receipt	95	52	169	156	179
Payments	-1,579	-1,536	-2,242	-1,551	-1,776
Of which: Official interest payments	*-238*	*-215*	*-350*	*-217*	*-295*
Current transfers	**10,226**	**11,613**	**13,406**	**11,961**	**12,559**
Official transfers	72	125	131	140	120
Private transfers	10,154	11,488	13,275	11,821	12,439
Of which: Workers' remittances	9,689	10,987	12,925	11,591	12,171
CURRENT ACCOUNT BALANCE	**2416**	**3737**	**1068**	**564**	**-884**
Capital account	**451**	**488**	**605**	**500**	**550**
Capital transfers	451	488	605	500	550
Financial account	**-825**	**-638**	**-895**	**-696**	**-105**
Foreign Direct investment	961	913	700	800	850
Portfolio investment	-159	-117	20	-25	-50
Other investment	-1627	-1434	-1615	-1471	-905
Net aid flows	563	917	1215	330	1070
MLT loans	1204	1604	2215	1050	1750
MLT amortization payments	-641	-687	-1000	-720	-680
Other long term loans (net)	-70	-156	-120	-132	-100
Other short term loans (net)	-169	67	-350	378	250
Other assets	-650	-902	-850	-850	-900
Trade credit (net)	-1277	-1045	-1400	-1300	-1200
Commercial Bank (DMBs & NBDCs)	-24	-315	-110	103	-25
Assets	-129	-410	-200	-250	-275
Liabilities	105	95	90	353	250
Errors and omissions	**16**	**-722**	**-420**	**-406**	**0**
OVERALL BALANCE	**2058**	**2865**	**358**	**-38**	**-439**
Reserve Assets (Change)	**-2058**	**-2865**	**-358**	**38**	**439**
Bangladesh Bank	-2068	-2865	-358	38	439
Assets (- indicates increase)	-1883	-3616	-750	-162	59
Liabilities (- indicates decrease)	-175	751	392	200	380
Memorandum items:					
Export growth rate (percent)	10.1	4.2	9.7	41.0	15.0
Import growth rate (percent)	4.2	5.4	17.5	43.0	15.0
Remittance growth rate (percent)	22.4	13.4	17.6	5.5	5.0
Gross official reserves (million US$)	7,471	10,750	11,500	10,912	10,853
(In months of imports of goods and services)	3.8	5.1	4.5	3.7	3.2